

**Time:** 5 minutes**Outcome:** Classify goods and apply efficient provision and resource-use rules.**Difficulty:** ●●○ Intermediate

## Public Goods & Common Resources

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### THE CORE IDEA

Excludability asks whether nonpayers can be kept out; rivalry asks whether one person's use reduces another's. Public goods are nonexcludable and nonrival, common resources are nonexcludable and rival, club goods are excludable and nonrival, and private goods are excludable and rival.

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### HOW TO RECOGNIZE IT

- Free riding can make private payments understate total social willingness to pay for a public good.
- Vertically sum individual marginal benefits to obtain MSB for a shared quantity.
- Provide the efficient public-good quantity where  $MSB = MC$ .
- Common resources tend toward overuse; property rights, access rules, or practical exclusion can change incentives.

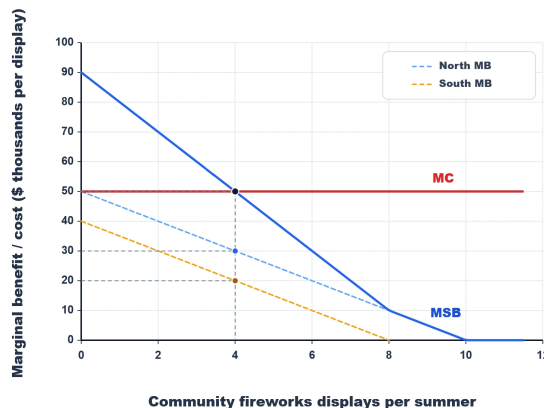
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### WATCH OUT

Do not classify a good by who supplies it. Government provision does not automatically make a good nonexcludable or nonrival.

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### WORKED EXAMPLE: VERTICAL SUMMATION



At four community fireworks displays, North's marginal benefit is \$30,000 and South's is \$20,000. Because both communities consume the same shared quantity, MSB is the vertical sum: \$50,000. MC is also \$50,000, so four displays are efficient. Summing quantities horizontally would be incorrect.

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### CHECK YOURSELF

Which combination describes a common resource: excludable/nonrival or nonexcludable/rival?

**READY?**

Return to the game and master this concept.